

Proprietary Data Flywheel

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Data advantage that compounds

PROFESSIONAL DEFINITION

A Proprietary Data Flywheel is a self-reinforcing loop in which a firm's unique data improves its product, which attracts more usage and generates more unique data, compounding advantage over time.

WHO DEVELOPED IT

A construct from data-strategy and platform practice, related to data network effects and the work of Hagiu and Wright.

WHY IT WAS DEVELOPED

It was developed to identify when data genuinely compounds into advantage, as opposed to merely accumulating.

FIGURE 1 · PROPRIETARY DATA FLYWHEEL

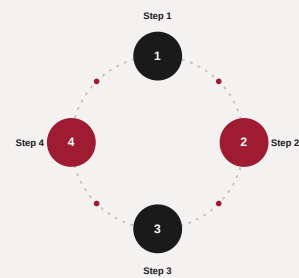


Figure 1. A schematic of the Proprietary Data Flywheel as applied in BARBM312 (illustrative).

HOW IT IS USED

The loop is tested for whether new data is unique, improves the product, and is hard to replicate; only then does it constitute a flywheel.

WHEN IT IS USED

When assessing data-based defensibility of AI products.

BY WHOM IT IS USED

Founders, product and data leaders, investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It distinguishes a compounding data moat from inert data accumulation, a key test of durable AI advantage.

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SOURCES (HARVARD REFERENCING STYLE)

Hagiu, A. and Wright, J. (2020) 'When data creates competitive advantage', HBR, 98(1).

Gregory, R.W. et al. (2021) 'The role of artificial intelligence and data network effects', Academy of Management Review, 46(3).